

COLLATERAL ASSIGNMENT OF ARCHITECT'S CONTRACT

THIS COLLATERAL ASSIGNMENT OF ARCHITECT'S CONTRACT (the "Assignment") is made as of November 18, 2013 by **CITY OF CHEYENNE, WYOMING** a municipal corporation duly organized and existing under the Constitution of the State of Wyoming ("City") to **U.S. BANK NATIONAL ASSOCIATION**, a national banking association, its successors and assigns ("Bank").

RECITALS:

A. City has executed a Purchase Agreement of even date (the "PSA") evidencing the purchase of certain property and improvements that will be improved ("Project") which is located upon that certain real property more particularly described on Exhibit A, attached hereto and made a part hereof by this reference ("Land"). Capitalized terms not otherwise defined herein shall have the meaning given to them in the PSA (as it may be amended, restated, extended, renewed, or otherwise modified from time to time).

B. City has entered into a contract with Pappas & Pappas Architects, P.C. ("Architect"), pertaining to the design and construction of certain improvements to be constructed on the Land in accordance with the Plans ("Improvements"), and any and all extensions, modifications or renewals thereof (the "Contract"), a true and correct copy of which is attached hereto as Exhibit B and by this reference incorporated herein.

C. The Bank has required City to assign the Contract to Bank and requires Architect to consent to and accept the assignment as a condition to Bank's purchase of the Project and payment of the Acquisition Price as described in the PSA, and the Bank would not purchase the Project or advance the Acquisition Price on the same terms and conditions, without this Assignment and the consent of the Architect.

ASSIGNMENT

FOR VALUE RECEIVED, the receipt and sufficiency of which is hereby acknowledged, and as part of the consideration for the purchase of the Project, City and Bank agree as follows:

1. Assignment. The City, does hereby assign to the Bank, its participants, successors, assigns, designees, nominees, or any subsequent owner of the Project, all of City's right, title and interest in and to the Contract, and any rights, benefit, warranties or remedies arising from any of the foregoing.

2. Representations and Warranties of City. City represents and warrants that:

(a) The Contract is held by City or when acquired by City will be held by City free and clear of all liens, security interests and charges and the Contract has not been pledged as collateral for any obligations other than the assignment contained in this Assignment. The City covenants and agrees with Bank to perform all acts required of it to maintain the Contract in good standing at all times.

(b) City has not conveyed, transferred, or assigned the Contract or any right or interest therein and has not executed any other document or instrument that might prevent or limit the Bank from operating under the terms, conditions and provisions of this Assignment.

(c) City shall make no other assignment of the Contract or of any right or interest therein.

(d) City shall perform and observe, in timely fashion, all of the covenants, conditions, obligations and agreements of City in connection with the Contract, in material accordance with the terms, conditions and provisions thereof.

(e) City shall not waive, execute any agreement which could be interpreted as waiving, or in any manner release or discharge any party from, the material covenants, conditions, obligations or agreements to be performed or observed in connection with the Contract, or condone any nonperformance thereof, but shall, at its sole cost and expense, enforce and secure the performance of all material covenants, conditions, obligations and agreements to be performed or observed in connection with the Contract.

3. Indemnity. In the exercise of the powers herein granted, no liability shall be asserted or enforced against the Bank prior to the enforcement of its rights hereunder, all such liability being hereby expressly waived and released by the City. City shall and does hereby agree to pay the Bank as Additional Rent under the Lease all amounts incurred by Bank for liability, loss or damage which it may or might incur by reason of this Assignment and of and from any and all claims and demands whatsoever which may be asserted against the Bank by reason of any alleged obligations or undertakings required to be performed by City in connection with the rights and privileges hereby assigned, except to the extent caused by the Bank's gross negligence or willful misconduct.

4. Bank's Rights. Although it is the intention of the parties that this instrument shall be a present assignment, it is expressly understood and agreed, anything herein contained to the contrary notwithstanding, that the Bank shall not exercise any of the rights or powers herein conferred upon it until an Event of Default has occurred under the Loan Documents, but upon the occurrence of any such Event of Default, the Bank shall be entitled to all the rights, privileges and benefits of City under the Contract.

5. Attorney in Fact. City does hereby make, constitute and appoint the Bank, and its successors and assigns, as City's true and lawful attorney in fact, in City's name, place and stead, or otherwise, upon the occurrence of a nonappropriation event under Section 3.3 of the Lease ("Nonappropriation Event"), any Event of Default, and at any time while such Event of Default is continuing:

(a) To do all acts and to execute, acknowledge, obtain and deliver any and all instruments, documents, items or things necessary, proper or required in connection with the Contract;

(b) To give any notices, instructions, or other communications in connection with the Contract;

(c) To demand and receive all performances due in connection with the Contract and to take all lawful ways and means for the enforcement thereof and to compromise and settle any

claim or cause of action in City arising from or related to the Contract and give acquittances and other sufficient discharges relating thereto; and

(d) To file any claim or proceeding or to take any other action, either in its own name, in that of its nominee, in the name of City, or otherwise, to enforce its rights under the Contract or protect and preserve the right, title and interest of Bank hereunder.

The power of attorney given herein is a power coupled with an interest and shall be irrevocable so long as any part of the PSA remains unpaid or unperformed. The Bank shall have no obligation to exercise any of the foregoing rights and powers in any event.

6. Bank's Counsel. Following a Nonappropriation Event or an Event of Default, the Bank shall have the right at any time to appear in and defend and be represented by counsel of its own choice in any action or proceeding purporting to affect City's rights related to the Contract.

7. Additional Indebtedness/Nonappropriation. All sums advanced or paid by the Bank under the terms hereof, all amounts paid, suffered or incurred by the Bank in exercising any authority granted herein, including reasonable attorneys' fees, and all other amounts due the Bank from City in connection with this Assignment, the PSA or the Lease shall be added to the indebtedness evidenced by the PSA and Lease subject to the non-appropriation provisions in the PSA and Lease, provided however, a Nonappropriation Event shall not terminate this Assignment but shall entitle Bank to elect to step into the place of City and continue to make payments required by the Contract so long as Architect performs, or terminate the Contract, as determined by Bank.

8. City Liability. Neither the execution and delivery of this Assignment nor any failure on the part of any person to comply with, honor and perform in accordance with the terms of the Contract shall affect the liability of any party to pay and perform the obligation under the PSA and Lease.

9. No Release. The taking of this Assignment by the Bank shall not effect the release of any other collateral now or hereafter held by the Bank as security for the obligations as described in the PSA or Lease, nor shall the taking of additional security for the obligations described in the PSA or Lease hereafter effect a release or termination of this Assignment or any terms, conditions or provisions hereof.

10. Termination. Upon payment in full of the Purchase Price and all other sums due if City exercises its option to purchase the Project described in Article 10 of the Lease, this Assignment shall cease, terminate and be of no further effect; provided, however, that the affidavit, certificate, letter or statement of the Bank or any officer, agent or attorney of the Bank showing any part of the Purchase Price or other amounts payable for the exercise being unpaid shall constitute conclusive evidence of the validity, effectiveness, and continuing force of this Assignment and any person may, and is hereby authorized to, rely thereon. City hereby authorizes and directs all entities having any interest in the Contract, upon receipt of written notice from the Bank, to recognize the Bank as entitled to exercise all powers and receive all benefits of City thereunder.

11. Further Assurances. City, upon request of the Bank, shall execute and deliver such additional documents, including but not limited to financing statements, and do such other acts as

may be reasonably necessary to fully implement the intent of this Assignment and to perfect and preserve the rights and interests of the Bank hereunder and the priority thereof.

12. Inurement. Time is of the essence hereof. This Assignment shall be binding upon City and its successors and assigns and shall inure to the benefit of the Bank and its successors and assigns. This Assignment, however, is not intended to confer any right or remedies upon any person other than the parties hereto and their successors and assigns.

13. Payment of Costs. City shall pay all costs and expenses, including without limitation, court costs and reasonable attorneys' fees, incurred by the Bank in enforcing performance of the obligations of City or in exercising the rights and remedies of the Bank hereunder. All such costs and expenses shall be secured by this Assignment and shall be paid by City to Bank as Additional Rent under the Lease. In the event of any court proceedings, court costs and attorneys' fees shall be set by the court and not by jury and shall be included in any judgment obtained by the Bank.

14. No Waiver. No failure or delay on the part of the Bank in exercising any right, power or remedy hereunder shall operate as a waiver thereof, nor shall any single or partial exercise of any right, power, or remedy hereunder preclude any other or further exercise thereof or the exercise of any other right, power or remedy. The rights, powers and remedies hereunder are cumulative and may be exercised by the Bank either independently of or concurrently with any other right, power or remedy contained herein or in any document or instrument executed in connection with the PSA or Lease.

15. Governing Law. By executing this Assignment, City acknowledges receipt of a copy hereof. A carbon, photographic or other reproduced copy of this Assignment and/or any financing statement relating hereto shall be sufficient for filing and/or recording as a financing statement. This Assignment shall be governed by and construed according to the laws of the State of Wyoming, without giving effect to Wyoming's principles of conflicts of laws. The venue provisions contained in the PSA are hereby incorporated by reference.

16. Governmental Claims. The City and its officials and employees do not waive governmental immunity by entering into this Assignment and specifically retain all immunities and defenses available to them as Governmental Entities pursuant to Wyo. Stat. § 1-39-101, et seq and all other applicable laws, except to the extent necessary solely for the enforcement of the terms and conditions of this Assignment as between the parties. Further, the City fully retains all immunities and defenses provided by law with regard to any action, whether in tort, contract or any other theory of law, based on this Assignment. Designation of venue, choice of law and similar provisions should not be construed as a waiver of governmental immunity.

17. Counterparts. This Assignment and the Consent attached hereto may be executed in counterparts, each of which shall be deemed an original, but all of which shall constitute the same document.

[Signatures continue on following page]

IN WITNESS WHEREOF, the undersigned has caused this Assignment to be executed as of the date set forth above.

CITY:

CITY OF CHEYENNE, WYOMING

By: _____

Name: _____

Title: _____

APPROVED AS TO FORM:

By: _____

Name: _____

Title: _____

ARCHITECT'S CONSENT TO COLLATERAL ASSIGNMENT OF CONTRACT

The undersigned, Pappas & Pappas Architects, P.C. ("Architect"), hereby consents to the above Assignment as same pertains to the Contract and all amendments, modifications, supplements, revisions, general conditions and addenda thereto, and as an inducement to the Bank to make, and in consideration of Bank entering into the PSA and Lease with the City described hereinabove, agrees as follows:

1. **Continued Performance.** Upon the occurrence of an Event of Default by the City under any instrument, document or agreement relating to the PSA or Lease, the Architect, at the Bank's request, will continue performance under and in accordance with the Contract, provided that the Architect shall be reimbursed in accordance with the Contract for all services rendered pursuant to the Contract.

2. **Enforcement of Contract.** After an Event of Default, the Bank may enforce the Contract in accordance with its terms pursuant to the Assignment and may perform the obligations of City under the Contract, and Architect will accept such performance in lieu of performance by City in satisfaction of City's obligations thereunder.

3. **No Termination of Contract.** Architect will not terminate the Contract on account of any default of City thereunder without prior written notice to the Bank and first providing to the Bank a reasonable period of time, but not less than thirty (30) days, to cure said default or to declare the City in default under the PSA or Lease or any document evidencing the transactions described in the PSA or Lease and exercise its assignment rights as provided herein. In the event the Bank so elects to exercise such assignment rights, Architect agrees not to terminate the Contract so long as the defaults of City thereunder capable of cure are cured by the Bank within a reasonable time; provided, however, that nothing contained herein shall require the Bank to cure any default of City under the Contract, and the Bank merely has the option to do so.

4. **Representations and Warranties of Architect.** Architect hereby represents and warrants to the Bank that: (a) the Contract is a valid and binding agreement enforceable in accordance with its terms, (b) there has been no prior assignment of the Contract of which Architect has notice, (c) neither Architect nor City is in default under the Contract, (d) all covenants, conditions and agreements have been or will be performed as required therein, and (e) Architect is duly licensed to conduct its business in the jurisdiction where such construction is to be performed and will maintain its license or licenses in full force and effect throughout the life of the Contract.

5. **Waiver.** Architect acknowledges and agrees that the Bank will have no obligation to honor, recognize, cure or pay for any costs represented by a change order or amendment to the Contract made without the prior written consent of the Bank, and Architect hereby waives all rights to demand payment from the Bank for any such change order or amendment or to assert a statutory lien against the Project as a consequence of such nonpayment.

6. **No Liens.** Architect acknowledges that there presently exist no delinquent sums due to Architect arising out of its performance under the Contract or any other agreement hereto executed and that Architect has no present lien or claim of lien upon the Project or the Improvements now existing or to be constructed thereon arising out of its performance under the Contract.

7. **Facsimile.** A facsimile or photocopy signature on this consent to Assignment, any amendment hereto or any notice delivered hereunder shall have the same legal effect as an original signature.

Dated: _____.

ARCHITECT:

Pappas & Pappas Architects, P.C.
a Wyoming corporation

By: _____

Name: _____

Title: _____

Exhibit A - Legal Description
Exhibit B - Contract